



Qualification Programme Examination Panelists' Report

Module 12 – Business Finance (June 2024 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Case Questions

General Comments

Overall performance in this section was less than satisfactory. Candidates demonstrated weak performance in calculating the fair value of financial instruments using Net Present Value ("NPV") calculation. Moreover, candidates need to improve their understanding of the various performance measurement models and apply the appropriate model based on the business in the case. In addition, while ethical questions may look simple, they need to be handled carefully by applying the appropriate ethical principles to address different practical ethical concerns.

Specific Comments

Question 1(a) – 10 marks

This question required candidates to act as the financial controller of the Group to prepare a memo to the owners of the Group to evaluate the industry attractiveness and profitability of the GAI industry with appropriate model.

Performance on this question was satisfactory.

Most candidates understood the requirement of the question and were able to apply the Porter's Five Forces Model to analyse the attractiveness and profitability of the Group. However, most candidates did not address the impact of the attractiveness and profitability of each of the forces. Most candidates correctly used the memo format to answer this question but did not draw a conclusion at the end of the memo.



Question 1(b) – 5 marks

This question required candidates to recommend, with justifications, whether the Group should further develop FIChat based on their evaluation in Question 1(a).

Performance of this question was unsatisfactory.

Most candidates seemed to lack a full understanding of the requirements of the question. The question required candidates to highlight the significance of each force and then draw a conclusion to decide whether the Group should further develop FIChat. The majority of candidates spent most of their time answering Question 1(a) but failed to make a correct recommendation with detailed reasons in Question 1(b). This indicates that candidates were unable to apply the technical knowledge relevant to the case in order to make correct recommendations.

Question 2 – 10 marks

This question required candidates to act as the financial controller of the Group to recommend the most appropriate performance measurement model for the GAI consultancy service business. Candidates were also required to explain, with examples, how the model can be used to achieve the Group's performance measurement objectives.

Performance on this question was unsatisfactory.

Most candidates used an incorrect model, i.e. the Balanced Scorecard, to answer this question instead of the Building Block model that is specifically used to develop performance measurement objectives for service businesses. Most candidates merely copied materials from the learning pack and did not know how to provide specific and quantifiable performance measurements and targets for the Group.

Question 3(a) – 10 marks

This question required candidates to recommend and justify suitable and feasible financing options that the Group should pursue to obtain additional financing for supporting the business operations and development of the Group.

Performance on the question was unsatisfactory.

Most candidates did not understand the question requirement and overlooked the 2-year financing period and the Group's unwillingness to issue new shares. Most candidates recommended incorrect financing options like IPO and equity financing. Some candidates were unable to apply technical financing knowledge to answer this question and instead merely provided a list of financing options without application of case materials.



Question 3(b) – 5 marks

This question required candidates to discuss the ethical principles that the financial controller should consider in obtaining financing based on the advice of the financial consultant. Candidates were also asked to advise the financial controller on how to handle the ethical issues.

Performance on the question was unsatisfactory.

Most candidates understood the requirement of the question but were not able to quote the ethical principle under the HKICPA Code of Ethics for Professional Accountants in Business ("COE") 110.1 A1. Most candidates also failed to apply relevant principles to advise the financial controller on how to handle the ethical issues. Some candidates apparently did not read the question and case carefully enough, and as a result mixed up and misinterpreted the role of financial consultant and financial controller in their answers. In addition, some candidates merely listed the five ethical principles from the learning pack without application to the case.

Question 4 – 10 marks

This question required candidates to calculate the current fair value of each of the financial instruments and recommend a financing instrument to the Group.

Performance on this question was unsatisfactory.

Most candidates were weak in calculations, in particular the current value of financial instruments. Most candidates were unable to calculate the after tax coupon and the after tax discount rate, and consequently failed to calculate the NPV of two options correctly. Moreover, most candidates were not able to handle the calculations of semi-annual coupons, indicating a lack of technical competency in NPV calculations. Some candidates used financial calculators to arrive at the correct answer, but they failed to show their calculation steps, which resulted in a loss of marks.

(II) Section B – Essay/Short Questions

General Comments

Overall, performance in this section was fair. Candidates were weak in understanding the question requirement and tended to provide generic discussion on the relevant topics without addressing the question requirement or application of technical knowledge. Moreover, some candidates were weak in calculations.

Specific Comments

Question 5(a) – 8 marks

This question required candidates to calculate the NPV for the purchase of a property. Candidates were also required to recommend, with justification, if the company should



accept the offer to purchase.

Performance on this question was fair.

Most candidates were able to apply the Discounted Cash Flow model in the calculation and were able to identify the key components for the NPV calculation, such as transaction cost, renovation cost, and rent saved. They were also able to draw appropriate conclusion base on their calculation. However, some candidates were relatively weak in calculations and some candidates failed to calculate the correct rental value and missed the renovation cost in the first year.

Question 5(b) – 3 marks

This question required candidates to advise on the possible factors that could be changed to influence the result of Question 5(a) model, without performing any calculations.

Performance on this question was poor.

Most candidates did not address the question requirement to discuss the factors that are under the control of the company. Rather, they focused on the factors that cannot be controlled by the company, such as lowering the selling price of the property and other transaction costs, etc.

Question 5(c) – 6 marks

This question required candidates to advise any other qualitative factors that should be considered for the purchase of the property.

Performance on this question was poor.

Some candidates were only able to mention factors such as fluctuation of the property market and how the company's liquidity may impact the purchase. Only a small number of candidates recognized that self-owned property can save moving costs and renovation costs, as well as increase customer experience, etc. Some candidates discussed the funding/ capital structure of the company, which was irrelevant to the question.

Question 6(a) – 6 marks

This question required candidates to advise the due diligence process from the operation perspective for reviewing and verifying an acquisition.

Performance on this question was poor.

Most candidates only provided the generic reasons for conducting due diligence, which was not part of the question requirement. Most candidates did not cover how and what should be done in the operation due diligence process, which was a requirement of



the question. Some candidates did not focus on operation due diligence but discussed other due diligence processes. For those candidates who discussed operation due diligence, many did not cover aspects such as human resources, litigation, customer and supply chain, all of which are crucial for achieving better performance.

Question 6(b) – 5 marks

This question required candidates to identify other due diligence processes that should be considered besides operation due diligence. Candidates were also required to recommend, with explanations, the parties and their roles in supporting such due diligence processes.

Performance on this question was satisfactory.

While candidates were able to identify relevant due diligence processes, only a few candidates were able to address the question requirement by recommending the relevant professional parties and explaining their roles in conducting these due diligence processes.

Question 6(c) – 3 marks

This question required candidates to advise the ESG discussions that must be included in the Business Review Section of the Director's Report as a listed company on the HKEX Main Board.

Performance on this question was unsatisfactory.

Many candidates understood the requirement on the Business Review Section of the Director's Report and were able to point out the required ESG discussions or compliance. However, the discussions were relatively general and failed to address the specific ESG requirements. Very few candidates were able to point out the need to include an account of the key relationships with various stakeholders such as employees, customers, suppliers, etc.

Question 7(a) – 7 marks

This question required candidates to calculate the expected net exchange gain/ loss in HKD with and without hedging, and to provide a recommendation on whether to hedge or not based on their calculation.

Performance on this question was fair.

Some candidates did not refer to the probabilities of each exchange forecast scenarios to calculate future expected exchange rate. Many candidates only calculated the exchange loss of each of the hedging scenarios but did not further compare and calculate the difference of exchange loss.



Question 7(b) – 6 marks

This question required candidates to calculate whether a call option should be considered instead of the forward contract.

Performance on this question was unsatisfactory.

Most candidates performed poorly in estimating the correct future expected exchange rate under the option. This is likely due to failing to consider the specific nature of the option, which is the ability to not exercise it if the exchange rate moves unfavourably. Some candidates properly applied the option premium in their calculation, but only a few candidates were able to calculate the net exchange loss and compare the difference between using forward and option.

Question 7(c) – 6 marks

This question required candidates to compare the advantages and disadvantages of using forward and option to hedge as a hedging tool.

Performance on this question was fair.

Most candidates were able to point out the advantages and disadvantages of using forward and option. However, most candidates failed to provide further elaboration to demonstrate their practical application of technical knowledge. Candidates need to provide more in-depth analysis with reference to the case information in order to achieve better performance.



(III) Conclusion and Recommendation

Overall, the performance of the candidates was unsatisfactory. To better answer the questions, candidates should familiarize themselves with technical and practical knowledge, such as NPV, performance measurement, Code of Ethics, strategic models such as the Porter's Five Forces Model, and hedging. Candidates also need to be prepared to apply these knowledge to solve the questions through detailed use of the case information.

To excel in Module 12, candidates are strongly encouraged to practice using past examination papers in order to strengthen their analytical and writing skills. These skills are essential in examinations. Furthermore, candidates should prioritize practicing calculations questions. While financial calculators can be helpful, it is essential to understand the underlying calculations and be able to perform them manually. Showing all key steps and figures during the exam demonstrates a thorough understanding of the concepts and the ability to apply them to make sound financial decisions.

Candidates should strengthen their ability to read and understand the requirements of the question, and to apply their knowledge to the questions. Candidate should avoid simply copying information from learning packs or providing definitions without further explanations and application to the specific case information.

As the examination is open-book, candidates should leverage reference materials, such as the learning pack. It is recommended that candidates prepare mind maps, bookmark their materials, and improve their skills in using the index of their reference materials, so that they can provide more specific context in their discussions and answer questions more efficiently. Candidates should also improve their time management skills so that they can complete all questions in the examination.